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Question ID: 1575142

For private equity investors, which of the following would be *most likely* to benefit the limited partners at the expense of the general partner?

- ☐ **A)** A fund-by-fund rather than a whole-of-fund waterfall provision.
- ☐ **B)** A hard hurdle rate rather than a soft hurdle rate of the same amount.
- ☐ **C)** Management fees based on committed capital rather than assets under management.

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A hedge fund with a 2 and 20 fee structure has a hard hurdle rate of 5%. If the incentive fee and management fee are calculated independently and the management fee is based on beginning-of-period asset values, an investor's return after fees over a period during which the gross value of the fund has increased 22% is *closest* to:

☐ A) 16.4%.

☐ B) 16.6%.

☐ C) 17.0%.

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An investor in a private investment in public equity (PIPE) transaction is *most likely* to:

☐ **A)** be given the opportunity to purchase securities in an auction.

☐ **B)** pay a premium to the market price.

☐ **C)** receive either existing or newly issued common stock.

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The type of real estate index that *most likely* exhibits sample selection bias is:

☐ **A)** REIT index.

☐ **B)** appraisal index.

☐ **C)** repeat sales index.

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The type of investment *most* often used to gain exposure to commodity prices is a portfolio of:

- ☐ **A)** derivative securities.
- ☐ **B)** physical commodities.
- ☐ **C)** commodity producing companies

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A hedge fund that engages primarily in distressed debt investing and merger arbitrage is *best* described as using:

☐ **A)** a macro strategy.

☐ **B)** an event-driven strategy.

☐ **C)** a relative value strategy.

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Reported alternative investment index returns are *most likely* biased upward by:

☐ **A)** both survivorship bias and backfill bias.

☐ **B)** survivorship bias, but not backfill bias.

☐ **C)** backfill bias, but not survivorship bias.

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Under both the proof of work (PoW) and proof of stake (PoS) consensus protocols, it is *most likely* that participants who validate transactions will:

- ☐ **A)** be rewarded with a new digital asset.
- ☐ **B)** pledge capital to vouch for the block's validity.
- ☐ **C)** use powerful computers to solve complex algorithms.